STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	**Case 19-G-0309**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a Brooklyn Union of L.I. for Gas Service	**Case 19-G-0310**

DIRECT TESTIMONY

AND EXHIBITS

OF

LANE KOLLEN

ON BEHALF OF

THE CITY OF NEW YORK

J. KENNEDY AND ASSOCIATES, INC.

AUGUST 30, 2019

QUALIFICATIONS AND SUMMARY

Q. PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.

A. My name is Lane Kollen. My business address is J. Kennedy and Associates, Inc. ("Kennedy and Associates"), 570 Colonial Park Drive, Suite 305, Roswell, Georgia 30075.

Q. WHAT IS YOUR OCCUPATION AND BY WHOM ARE YOU EMPLOYED?

A. I am a utility rate and planning consultant holding the position of Vice President and Principal with the firm of Kennedy and Associates.

Q. PLEASE DESCRIBE YOUR EDUCATION AND PROFESSIONAL EXPERIENCE.

A. I earned both a Bachelor of Business Administration in Accounting degree and a Master of Business Administration degree from the University of Toledo. I also earned a Master of Arts degree in Theology from Luther Rice University. I am a Certified Public Accountant, with a practice license, Certified Management Accountant, and Chartered Global Management Accountant. I am a member of numerous professional organizations, including the American Institute of Certified Public Accountants and the Society of Depreciation Professionals.

I have been an active participant in the utility industry for more than thirty years, both as an employee and as a consultant. Since 1986, I have been a consultant with J. Kennedy and Associates, Inc., providing services to state government agencies and consumers of utility services in the ratemaking, financial, tax, accounting, and management areas. From 1983 to 1986, I was a consultant with Energy Management Associates, providing services to investor and consumer owned utility companies. From 1976 to 1983,

I was employed by The Toledo Edison Company in a series of positions encompassing accounting, tax, financial, and planning functions.

I have appeared as an expert witness on accounting, depreciation, tax, finance, ratemaking, and planning issues before federal and state regulatory commissions and courts on hundreds of occasions.[1]

Q. ON WHOSE BEHALF ARE YOU TESTIFYING?

A. I am testifying on behalf of the City of New York.

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. The purpose of my testimony is to address the accounting of, and proposed increases in depreciation (amortization) rates for, leak prone pipe ("LPP") plant assets based on depreciation studies performed and presented by Mr. Paul Normand on behalf of Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a Brooklyn Union of L.I. ("KEDLI"; and together with KEDNY, the "Companies").

Q. PLEASE DESCRIBE THE EFFECT OF THE COMPANIES' PROPOSED CHANGES IN DEPRECIATION RATES AND EXPENSE.

A. If adopted, the proposed depreciation (amortization) rates will result in annual LPP depreciation (amortization) expense for KEDNY of $29.258 million, an increase of $27.453 million compared to $1.806 million under present depreciation rates, and annual LPP depreciation expense for KEDLI of $26.555 million, an increase of $24.477 million

[1] My regulatory appearances by jurisdiction and proceeding, as well as the subject matter, are detailed on my Exhibit___(LK-1).

compared to $2.078 million under present depreciation rates, based on plant balances at the study date of December 31, 2018.[2]

Q. PLEASE DESCRIBE THE COMPANIES' PROPOSED CHANGES IN DEPRECIATION RATES.

A. The Companies propose significant increases in the depreciation rates for the LPP plant accounts in order to recover the remaining net book value over 20 years and to recover significant increases in the estimated costs of removal for these assets. The proposed changes in the depreciation rates for the LPP plant accounts ostensibly are due to the Companies' plans to accelerate the retirement and replacement of LPP mains and services. The Companies propose to reclassify the net book value of the LPP plant assets as regulatory assets and then amortize the regulatory assets using the proposed depreciation rates.

KEDNY proposes to increase the average LPP depreciation rates to 34.03% from 2.10%, although the rates vary by plant account.[3] KEDLI proposes to increase the average LPP depreciation rates to 18.64% from 1.46%, although the rates vary by plant account.[4]

KEDNY proposes to shorten the remaining average service lives reflected in the LPP depreciation rates to 20.0 years from 25.8 years. KEDLI proposes to shorten the

[2] For KEDNY, refer to Schedule B of the KEDNY depreciation study. [Exhibit___(PMN-3) attached to Mr. Normand's Direct Testimony. For KEDLI, refer to Schedule B of the KEDLI depreciation study. [Exhibit___(PMN-3) attached to Mr. Normand's Direct Testimony]. I have attached the KEDNY Schedule B as my Exhibit___(LK-2) and KEDLI Schedule B as my Exhibit___(LK-3) for ease of reference.
[3] *Id.*
[4] *Id.*

remaining average service lives reflected in the LPP depreciation rates to 20.0 years from 29.9 years.[5]

KEDNY proposes to increase the cost of removal (net negative salvage) from -60% to -357.3% for account 367.08 *Mains-Steel*, from -38% to -1,968.1% for account 376.05 *Mains-Cast Iron*, from -65% to -357.3% for account 376.09 *Mains-Steel*, from -5% to -111.9% for account 380.02 *Services-Steel*, and from -4% to -248.7% for account 380.05 *Services-Copper*.[6]

KEDLI proposes to increase the cost of removal (net negative salvage) from 0% to -260.8% for account 367.04 *Mains-Cast Iron*, from 0% to -601% for account 367.09 *Mains-Steel*, from -1% to -601% for account 376.08 *Mains-Steel*, from -14% to -260.8% for account 376.10 *Mains-Cast Iron*, from 0% to -38% for account 376.18 *Mains-Plastic*, from 0% to -241.2% for account 380.01 *Services-Steel*, from 0% to -38% for *Services-Plastic*, and from 0% to -30.7% for account 380.03 *Services-Copper*.[7]

Q. PLEASE COMPARE THE MAGNITUDE OF THE COMPANIES' REQUESTS TO THE REMAINING NET BOOK VALUE OF THE LPP PLANT ASSETS.

A. KEDNY seeks to recover $549.060 million through the proposed depreciation rates over the next twenty years compared to the $72.342 million in remaining net book value at December 31, 2018.[8] In other words, KEDNY seeks to recover $476.718 million for costs

[5] For KEDNY and KEDLI, refer to Schedule A column 14 of the depreciation study attached to Mr. Norman's Direct Testimony in each case. [Exhibit___(PMN-2)]. I have attached the KEDNY Schedule A as my Exhibit___(LK-4) and KEDLI Schedule A as my Exhibit___(LK-5) for ease of reference.
[6] Exhibit___(LK-2).
[7] Exhibit___(LK-3).
[8] Exhibit___(LK-4). The plant in-service for all LPP plant assets is $85.974 million (column 1). The accumulated depreciation is $13.632 million (column 12).

of removal in addition to the net book value of the LPP plant assets. KEDLI seeks to recover $489.540 million through the proposed depreciation rates compared to $80.017 million in remaining net book value at December 31, 2018.[9] KEDLI seeks to recover $409.523 million for costs of removal in addition to the net book value of the LPP plant assets.

Q. PLEASE SUMMARIZE YOUR TESTIMONY.

A. I recommend that the Commission reject the Companies proposals to: (1) increase the present depreciation rates and depreciation expense to accelerate recovery of the remaining net book value; and (2) recover potentially hundreds of millions of dollars of highly uncertain and unknown estimated costs of removal. The increases are not necessary and reflect inordinately short recovery periods and excessive estimated costs of removal based on flawed statistical analyses that are inappropriate for this purpose.

The Companies' proposal to shorten the amortization period is unreasonable. Once the net book value is reclassified to a regulatory asset, the remaining lives of the plant assets are irrelevant. There is no compelling reason for the Commission to accelerate the recovery of these costs even if it agrees with the Companies' plan to accelerate the retirement and replacement of the LPP plant assets. The Companies' proposal will compound the costs to customers, who will be required to pay for the cost of the retired LPP assets as well as the cost of the replacement assets.

[9] Exhibit___(LK-5). The plant in-service for all LPP plant assets is $142.470 million (column 1). The accumulated depreciation is $62.453 million (column 12).

The Companies' proposal to significantly increase the estimated costs of removal in the depreciation rates also is unreasonable. There is no need to estimate costs of this potential magnitude. Mr. Normand's estimates for the Companies are unreliable and unreasonable. These estimates sum to almost $900 million over the proposed twenty-year amortization period, nearly six times the net book value of the plant being retired. Mr. Normand's estimates of these costs are not actual estimates developed by the Companies' planning and engineering personnel based on the scope of work, but rather are based on recent costs per mile and per service that vary considerably from year to year.

The better approach is for the Commission to direct the Companies to defer the actual costs of removal to the regulatory assets when the costs are incurred and then depreciate (amortize) the increase in the regulatory assets using the presently approved depreciation (amortization) rates. This approach is equitable to both the Companies and their customers and is fully compensatory to the Companies. It will permit the Companies to recover 100% of their actual costs of removal.

Q. WHAT ARE THE EFFECTS OF YOUR RECOMMENDATIONS?

A. The depreciation expense for KEDNY will be $27.453 million less and for KEDLI will be $24.477 million less than the proposed depreciation expense calculated by Mr. Norman based on LPP plant assets at December 31, 2018.

ACCOUNTING AND RATEMAKING TREATMENT OF LPP PLANT ASSETS RECLASSIFIED TO REGULATORY ASSETS

Q PLEASE DESCRIBE THE TYPICAL ACCOUNTING TO RECLASSIFY THE NET BOOK VALUE OF THE LPP PLANT ASSETS TO REGULATORY ASSETS.

A. The typical accounting consists of a credit to plant in service and an equivalent debit to accumulated depreciation to remove the LPP amounts from the plant and accumulated depreciation accounts. To the extent that the Companies' plant accounts are not fully depreciated, the typical accounting would leave the net book value as a debit balance in the accumulated depreciation accounts. The Companies then would credit the accumulated depreciation and debit regulatory assets for amounts equivalent to the net book value.

Q. PLEASE DESCRIBE THE TYPICAL ACCOUNTING FOR COSTS OF REMOVAL AFTER PLANT COSTS HAVE BEEN RECLASSIFIED TO REGULATORY ASSETS.

A. In such cases, the costs of removal typically are added to the regulatory assets. This is different than if the costs still were recorded in the plant accounts. In that latter circumstance, actual costs of removal are debited to accumulated depreciation and the estimated net negative salvage costs included in the depreciation expense are credited to accumulated depreciation.

Q. PLEASE DESCRIBE THE TYPICAL CALCULATION OF AMORTIZATION EXPENSE.

A. Amortization expense typically is calculated as the amount of the regulatory asset divided by the remaining amortization period (months or years). Alternatively, it could be a dollar amount of amortization expense allowed by the Commission.

Q. DOES IT APPEAR THAT THE COMPANIES PLAN TO FOLLOW THE TYPICAL ACCOUNTING TO RECLASSIFY THE NET BOOK VALUE OF THE LPP PLANT ASSET TO REGULATORY ASSETS AND TO CALCULATE

AMORTIZATION EXPENSE ON A STRAIGHT-LINE BASIS OVER THE REMAINING AMORTIZATION PERIOD?

A. No. It appears that the Companies' plan to maintain the gross plant amounts as the regulatory assets and maintain the accumulated depreciation as accumulated amortization. I conclude this because the Companies calculated their proposed depreciation rates on gross plant, not net plant.[10] I also conclude that the Companies' plan is to continue debiting the actual costs of removal to accumulated amortization and crediting the amortization expense, which includes the estimated costs of removal, to the accumulated amortization. I conclude this because the Companies calculated their proposed depreciation rates on gross plant, not net plant, and embedded the costs of removal into the proposed depreciation rates.[11]

Q. DO YOU AGREE THAT THE ACTUAL COSTS OF REMOVAL SHOULD BE DEBITED TO ACCUMULATED AMORTIZATION?

A. No. The Commission should direct the Company to debit the actual costs of removal to the regulatory assets, not to accumulated amortization, assuming the Commission adopts my recommendation to continue to use the present depreciation rates and does not increase the depreciation (amortization) rates based on Mr. Normand's estimated costs of removal. In this manner, the costs of removal will be properly deferred for recovery and the amortization will commence the month after the costs of removal are deferred.

[10] For KEDNY, refer to Schedule B of the KEDNY depreciation study. [Exhibit___(PMN-3) attached to Mr. Normand's Direct Testimony. For KEDLI, refer to Schedule B of the KEDLI depreciation study. [Exhibit___(PMN-3) attached to Mr. Normand's Direct Testimony].
[11] *Id.*

Q. WHAT IS YOUR RECOMMENDATION?

A. I recommend that the Commission approve the Companies' request to reclassify the LPP plant assets to regulatory assets. I also recommend that the Commission direct the Companies to defer the actual costs of removal when the costs are incurred and to commence amortization using the present depreciation rates. This approach avoids the uncertainty and the need to estimate the future costs of removal using statistical or other methodologies and replace it with the certainty of actual costs when incurred. The Commission retains the authority to revisit the depreciation (amortization) rates in subsequent rate proceedings if necessary and appropriate, but will have the advantage of actual costs that are known and measurable.

AMORTIZATION PERIOD SHOULD NOT BE ACCELERATED

Q. DESCRIBE THE COMPANIES' PROPOSAL TO ACCELERATE THE AMORTIZATION AND RECOVERY OF THE NET BOOK VALUE AND ESTIMATED COSTS OF REMOVAL OVER TWENTY YEARS.

A. Mr. Norman proposes a twenty-year amortization period. He claims that this "is necessary to fully recover all appropriate costs for these facilities within the retirement period proposed."[12]

Q. IS IT NECESSARY OR APPROPRIATE TO RECOVER THESE COSTS "WITHIN THE RETIREMENT PERIOD PROPOSED"?

A. No. The "retirement period" is not a valid basis for setting the amortization period. After the LPP assets are retired, there no longer is any nexus to the prior service lives. The

[12] Direct Testimony of Mr. Paul Normand at 7.

reclassification of the plant costs to regulatory assets severs any relationship with or conceptual underpinning to the prior service lives of the assets. The Companies implicitly acknowledge this fact in their own proposal to use a twenty-year amortization period in the calculation of the depreciation rates. Mr. Norman recommends a twenty-year average service life in the proposed depreciation rates. However, the weighted average remaining service lives for the LPP plant assets is only ten years, assuming that they are retired and replaced uniformly over the next twenty years. The Companies' proposal implicitly recognizes that the amortization of the regulatory assets is no longer tethered to the service lives of the assets, but rather is simply an amortization period that will be determined by the Commission and reflected in the depreciation (amortization) rates.

Q. WHAT ARE THE AVERAGE REMAINING SERVICE LIVES REFLECTED IN THE PRESENT DEPRECIATION RATES?

A. The average remaining service lives for each plant account are shown in the depreciation studies attached to Mr. Norman's testimonies. For KEDNY, they range from 9.5 years to 30.0 years,[13] with an average of 25.8 years. .For KEDLI, they range from 6.4 years to 38.2 years,[14] with an average of 29.9 years.

Q. WHY SHOULD THE COMMISSION MAINTAIN THE SERVICE LIVES REFLECTED IN THE PRESENT DEPRECIATION RATES AND REJECT THE COMPANIES' PROPOSAL TO ACCELERATE THE AMORTIZATION USING A TWENTY-YEAR AMORTIZATION PERIOD?

[13] Exhibit___(LK-4) page 1 column (14).
[14] Exhibit___(LK-5) page 1 column (14).

A. This approach will mitigate the impact on customers of the Companies' proposal to accelerate the LPP plant assets' retirement and replacement. The Company's proposal unnecessarily drives up the revenue requirement and compounds the impact of increased gas rates on customers. The retirement and replacement of the LPP plant assets results in two sets of costs that are included in the revenue requirement in these rate proceedings and in future rate proceedings.

The first set of costs is related to the return on and amortization of the net book value of the retired plant costs plus estimated costs of removal. The second set is related to the return on the net book value and depreciation of the plant in service costs of the replacement plant costs plus estimated costs of removal.

The two sets of costs overlap and both will be included in the revenue requirement until the first set is fully amortized and recovered. Under the Companies' proposal, the recovery of the first set of costs will be accelerated even as the second set of costs is incurred and added to the revenue requirement. In this manner, the Companies' proposal compounds the impact on customers over the shortened recovery period.

Q. WHAT IS YOUR RECOMMENDATION?

A. I recommend that the Commission maintain the present depreciation rates and the service lives reflected in those depreciation rates for the amortization period rather than accelerate the recovery by shortening the amortization period to twenty years.

ESTIMATED COST OF REMOVAL SHOULD NOT BE INCREASED

Q. PLEASE DESCRIBE MR. NORMAND'S STATISTICAL CALCULATION OF THE ESTIMATED COSTS OF REMOVAL.

A. Mr. Normand calculated historical annual percentage costs of removal for each of the plant accounts. He first calculated the costs of removal per mile by dividing the cost of removal by the miles of mains retired for each of the mains plant accounts and the cost of removal per service by dividing the cost of removal by the number of services retired for the services plant accounts. He then calculated the average annual cost of removal per mile and the average cost per service using different numbers of years, i.e., three years, four years, and seven years. He then settled on three-year annual averages for each account that had data. Finally, he calculated the annual cost of removal as a percentage of the gross plant. In some cases, he used the results from a similar account for another account that had no data.[15]

Q. ARE THE RESULTS OF THESE CALCULATIONS RELIABLE AND REASONABLE TO USE AS THE ESTIMATED COSTS OF REMOVAL?

A. No. The results are unreliable and are not reasonable to use as the estimated costs of removal. Mr. Norman's statistical approach may be appropriate for long-lived assets in the context of a normal depreciation study with limited retirements and costs of removal; however, the Companies' plan to retire all their remaining LPP plant assets, is well outside the context of a normal depreciation study.

In this case and considering the magnitude of the retirements and the related costs of removal, the superior approach is not to rely on estimates at all, but instead to defer the actual cost of removal to the regulatory assets. This approach replaces the uncertainty of

[15] Exhibit___(PNM-4) attached to Mr. Norman's Direct Testimony in both cases. I have attached a copy of the KEDNY version of Exhibit___(PNM-4) as my Exhibit___(LK-6) and the KEDLI version of Exhibit___(PNM-4) as my Exhibit___(LK-7) for ease of reference.

using estimates, however determined, with the absolute certainty of using the actual costs when those costs actually are incurred. Estimates are not necessary when actual costs will be available as they are incurred.

Second, the best estimate, if estimates are used, is to have the Companies' planning and engineering personnel estimate the costs in conjunction with the capital costs of the replacement mains and services. Such estimates would be based on the planned scope and timing of the retirement and replacement of the mains and services. In actual experience, the Companies simply allocate the total loaded payroll costs incurred between capital expenditures (plant) and cost of removal. The Companies allocate 70% to capital expenditures (plant) and 30% to cost of removal for mains, and allocate 90% to capital expenditures and 10% to cost of removal for services.[16]

Third, the Companies' actual historical experience has varied significantly and Mr. Norman has offered no evidence that any one historical year or any average of multiple historical years for estimated costs of removal is consistent with the scope or timing of the actual planned mains and services replacements. For example, the cost of removal for account 376.06 *Mains-Cast Iron* for KEDNY ranged from a low of $14,652 per mile to retire 84.6 miles to a high of $2,188,307 to retire 0.8 miles. As another example, the cost of removal for account 376.18 *Mains-Plastic* for KEDLI ranged from a low of $71,364 per mile to retire 0.9 miles of main to a high of $17,807,549 to retire 0.01 miles of main. In none of the prior years did KEDLI retire more than 1.15 miles.[17] There is no evidence that

[16] Response to City of CNY-73. I have attached the narrative portion of this response as my Exhibit___(LK-8).
[17] *Id.*

these historical costs, incurred for different scopes of work, and in many cases, extremely limited retirements and limited activities, provide reliable or reasonable bases to estimate the costs for the retirements of all the remaining LPP plant assets, even if averaged in some manner.

Fourth, the statistical approach to incorporate the costs of removal in the depreciation rates further magnifies the effects of using estimated costs. The estimated costs of removal per mile and per service were multiplied by the miles of main remaining for each account and the services remaining in each account to calculate the estimated dollars for the cost of removal, which Mr. Normand then divided by the gross plant in the account to calculate the percentage for the cost of removal (net negative salvage) component of the depreciation rates for each plant account. These calculations resulted in proposed net negative salvage rates of as much as 1,968% for KEDNY and 601% for KEDLI.[18] In comparison, the current range of net negative salvage rates reflected in the present depreciation rates is 4% to 65% for KEDNY and 0% to 14% for KEDLI.[19]

Finally, the results of Mr. Normand's analyses and proposed depreciation rates simply are not reasonable. The costs of removal resulting from his analyses sum to $476.718 million for KEDNY and to $409.523 million for KEDLI. These costs of removal compare to $72.342 million in remaining net book value for KEDNY and $80.017 million for KEDLI. At a minimum, the Companies should compare these statistical estimated costs of removal to the actual planned costs of removal in conjunction with the replacement of

[18] Exhibit___(LK-2) for KEDNY column (7) and Exhibit___(LK-3) for KEDLI column (7).
[19] *Id.*

the LPP plant assets using the Companies' standard allocation of only 10% to 30% of the loaded payroll costs to costs of removal, with the remainder to the replacement plant. In any event, my recommendation to defer the actual costs of removal to the regulatory assets avoids the need to calculate estimated costs of removal or argue over the methodology.

Q. WHAT IS YOUR RECOMMENDATION?

A. I recommend that the Commission maintain the present depreciation rates and direct the Companies to defer the costs of removal to the regulatory assets for future recovery after the costs actually are incurred and known with certainty. This approach is reasonable and equitable to the Companies and their customers. This approach will provide recovery of the actual incremental costs of removal after they are incurred and are known and certain.

Q. DOES THIS COMPLETE YOUR DIRECT TESTIMONY?

A. Yes.